Calendar Lines 4 and 5
Case Name: Niloufar Nouri et al. v. Tesla Insurance Services, Inc. et al.
Case No.: 25CV458886

This is an action brought by plaintiffs Niloufar Nouri and Seyed Sadroldin Zahiroleslamzadeh (Plaintiffs) against defendants Tesla Insurance Services, Inc. (TIS) and Tesla Motors, Inc. (Tesla). The case involves a dispute about insurance coverage for a car Plaintiffs leased from Tesla. Plaintiffs allege that insurance obtained for a 2021 Tesla they leased from Tesla also covered a 2024 Tesla Plaintiffs leased upon trading in the older car. Plaintiffs' original complaint was filed in February 2025. It alleged three causes of action: (1) breach of contract; (2) insurance bad faith; and (3) violations of the unfair competition law (UCL). All three causes of action were brought against both defendants. A copy of the insurance policy was attached to the complaint as exhibit 1.

Tesla did not challenge the complaint. TIS demurred to all three causes of action, which was heard by the court (Judge Chung) in September 2025. On the first cause of action, the court expressly found that Plaintiffs' interpretation of the ambiguous contract was reasonable. (See Sept. 11, 2025 order at pp. 6:22-7:24.) The court sustained the demurrer to the first cause of action with leave to amend because there were no allegations about the policy in effect on February 28, 2024. (*Id*. at p. 8:7-13 and fn. 1.) The court sustained the demurrer to the second cause of action with leave to amend because it was dependent upon the first. (*Id*. at p. 9:1-4.) The court found that the third cause of action was not, as TIS claimed, expressly based on Insurance Code section 790.03. (*Id*. at p. 10:3-15.) The demurrer to the third cause of action was sustained with leave to amend because it did not allege that any violations of California's Financial Responsibility Laws had actually occurred, and because the breach of contract claim could not serve as the predicate for the UCL claim for which the demurrer to the first cause of action had been sustained. (*Id*. at pp. 11:11-14:18.) The court takes judicial notice of the September 11, 2025 order on its own motion. (Evid. Code, § 452, subd. (d).)

Plaintiffs filed the operative first amended complaint (FAC) in September 2025. It alleges the same three causes of action. A copy of the insurance policy is again attached as exhibit 1.

At issue is a demurrer to the FAC by TIS and a motion for judgment on the pleadings brought by Tesla. Plaintiffs oppose.

LEGAL STANDARDS FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that "[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded." The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) ["Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."].)

Where a demurrer is to an amended complaint or cross-complaint, the court "may consider the factual allegations of prior complaints, which a plaintiff may not discard or avoid by making contradictory averments, in a superseding, amended pleading." (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034, internal quotations omitted (*Berg & Berg*); see also *Doe v. United States Youth Soccer Assoc*. (2017) 8 Cal.App.5th 1118, 1122.) "[A] general demurrer may not be sustained, nor a motion for judgment on the pleadings granted, as to a portion of a cause of action." (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, disapproved in part on other grounds by *Sheen v. Wells Fargo Bank, N.A*. (2022) 12 Cal.5th 905.)

The court cannot consider extrinsic evidence when ruling on a demurrer. The court has considered the declaration of TIS counsel Min King only to the extent it discusses the meet and confer efforts required by statute. The court has not considered any of the attached exhibits. The court has not considered the declaration from legal secretary Lesa Lewis or any of the attached exhibits. The court has also not considered the declaration from Plaintiffs' counsel Joshua Markowitz submitted with the opposition or any of the attached exhibits. Finally, "points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before." (*Proctor v. Vishay Intertechnology, Inc*. (2013) 213 Cal.App.4th 1258, 1273.)

DISCUSSION

TIS demurs to all three causes of action in the FAC on the ground that they fail to state sufficient facts. (See Notice of Demurrer and Demurrer.) Given Judge Chung's prior determinations regarding the sufficiency of some of the allegations in the original complaint, the court's present task does not include revisiting or reconsidering whether prior determinations regarding allegations in the complaint were correct.

First Cause of Action

To state a breach of contract claim, a plaintiff must allege: 1) the existence of a (valid) contract; 2) Plaintiff's performance or excuse for nonperformance; 3) Defendant's breach, and; 4) damage to Plaintiff resulting from that breach. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 228 (*Rutherford Holdings*).) The FAC alleges that based on the express terms of the policy, the coverage for the new replacement vehicle was the same as that for the prior vehicle.

TIS contends that the insurance policy attached to the FAC and complaint can only be interpreted as covering Plaintiffs' 2021 Tesla, and not their replacement 2024 Tesla. TIS argues there is no coverage because Plaintiffs have not alleged "that they ever actually asked their insurance carrier, TIS, to add the new 2024 Tesla to the policy as required by the policy's terms." (See memorandum at p. 4:21-25.) This is an improper attempt to reargue a determination already made by Judge Chung. The prior demurrer order expressly determined that the insurance policy was ambiguous; that the ambiguous language should be construed against TIS; and that Plaintiffs' interpretation of the policy as covering their replacement Tesla was reasonable and controlled over the interpretation urged by TIS. (Sept. 11, 2025 Order at pp. 6:10-7:24; *Rutherford Holdings*, *supra*, 223 Cal.App.4th at 229-230 [A plaintiff's reasonable interpretation of an ambiguous contract is accepted as true on demurrer].)

The court will not reconsider Judge Chung's legal determination. "[T]he interpretation of an insurance policy is a legal rather than a factual determination." (*Chatton v. National Union Fire Ins. Co.* (1992) 10 Cal.App.4th 846, 865, citations omitted.) "In general, interpretation of an insurance policy is a question of law that is decided under settled rules of contract interpretation." (*State of California v. Continental Ins. Co*. (2012) 55 Cal.4th 186, 194 (*Continental*).) If policy language is clear and explicit, it governs. (*Ibid*.) But a policy provision will be considered ambiguous "'when it is capable of two or more constructions, both of which are reasonable.'" (*Id*., quoting *Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 18.)

The court has not considered arguments made for the first time in TIS's reply. The demurrer to the first cause of action is overruled.

Second Cause of Action

Insurance bad faith is a term used to describe causes of action for breach of the implied covenant of good faith and fair dealing in the insurance context. An implied covenant of good faith and fair dealing is implicit in an insurance contract. (See *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 683.) "Before an insurer can be found to have acted in bad faith for its delay or denial in the payment of policy benefits, it must be shown that the insurer acted *unreasonably or without proper cause*." (*Jordan v. Allstate Ins. Co*. (2007) 148 Cal.App.4th 1062, 1072 (*Jordan*); see also *Tilbury Constructors, Inc. v. State Compensation Ins. Fund* (2006) 137 Cal.App.4th 466, 475 [citing *Love v. Fire Insurance Exchange* (1990) 221 Cal.App.3d 1136, 1151].)

TIS argues that the second cause of action "fails because plaintiffs cannot allege a breach of a written contract on the part of TIS, a necessary component of this cause of action." TIS contends that it "could not have breached the implied covenant of good faith and fair dealing pursuant to an insurance policy that simply did not provide coverage for a vehicle that was never listed in the policy." (Memorandum at p. 5:6-18.) Again, this interpretation of the policy was already rejected by Judge Chung.

Because the demurrer to the first cause of action has been overruled, the demurrer to the second cause of action as alleged in the FAC is also overruled.

Third Cause of Action

"Business and Professions Code section 17200 et seq. prohibits unfair competition, including unlawful, unfair, and fraudulent business acts. The UCL covers a wide range of conduct. It embraces anything that can properly be called a business practice and that at the same time is forbidden by law." (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143 (Korea).) "Unlawful business acts or practices within the meaning of the UCL include anything that can properly be called a business practice and that at the same time is forbidden by law." (*McKell v. Washington Mutual, Inc*. (2006) 142 Cal.App.4th 1457, 1474 (*McKell*) [citations and quotation marks omitted].) "A practice is forbidden by law if it violates any law, civil, or criminal, statutory or judicially made, federal, state, or local." (*Ibid*., internal citations omitted.)

Because the demurrer to the first cause of action has been overruled, it can now provide support for the third cause of action. The allegations of the first cause of action are incorporated into the third by reference, and a demurrer does not lie to only part of a cause of action. (See FAC at ¶¶ 30-33; *Daniels*, *supra*, 246 Cal.App.4th at 1167.) The demurrer can be overruled on this basis alone. TIS's argument that a UCL claim must be based on a specific statutory violation is incorrect.

TIS repeats an argument already rejected by Judge Chung; TIS contends the third cause of action is based on Insurance Code section 790.03. (9/11/25 order at 9:6-10:15.) As alleged in the FAC, the third cause of action is not based on this code section or conduct amounting to a violation of this code section. (See memorandum at pp. 6:1-8:12.)

TIS's argument that the third cause of action is barred because adequate remedies are available at law is incorrect. (Bus. & Prof. Code, § 17205 ["Unless otherwise expressly provided, the remedies or penalties provided by this chapter are cumulative to each other and to the remedies or penalties available under all other laws of this state."].) While the court agrees that the third cause of action does not allege a violation of Vehicle Code section 16000 et seq. (and is not a substitute for a cause of action specifically alleging such a claim), such an allegation is not necessary for Plaintiffs to seek the only relief specifically sought in the third cause of action, an injunction "requiring Defendants to timely update insurance policies when vehicles are replaced." (FAC at ¶ 33.)

The court has not considered arguments made for the first time in TIS's reply brief.

TIS's demurrer to the third cause of action in the FAC is overruled.

LEGAL STANDARDS FOR MOTION FOR JUDGMENT ON THE PLEADINGS

A motion for judgment on the pleadings "is equivalent to a belated general demurrer." (*Sprague v. County of San Diego* (2003) 106 Cal.App.4th 119, 127.) It has the same function as a general demurrer, but it is made after the time for demurrer has expired. Except as provided by statute (Code Civ. Proc., § 438), the rules governing demurrers apply. As with a demurrer, in ruling on a motion for judgment on the pleadings the court accepts as true all properly pleaded material factual allegations, but does not accept as true contentions, deductions, or conclusions of fact or law. (See *Valero*, *supra*, 88 Cal.App.5th at 253.) Extrinsic evidence cannot be considered. As with a demurrer, a motion for judgment on the pleadings cannot be granted as to only part of a cause of action. (See *Daniels*, *supra*, 246 Cal.App.4th at 1167.)

The court has considered the declaration from Tesla counsel Eleonora Antonyan only to the extent it discusses the required meet and confer efforts. The court has not considered the attached exhibit.

DISCUSSION

Tesla's motion is brought pursuant to Code of Civil Procedure section 438 and is directed at the entire FAC on the basis that it "fails to state facts sufficient to constitute a cause of action against Tesla Motors." (Notice of Motion at p. 2:5-7.) As with a demurrer directed to an entire pleading, a motion for judgment on the pleadings directed at an entire pleading fails if any one cause of action states sufficient facts.

Tesla notes that the entire FAC is based on Plaintiffs' insurance policy with TIS. That policy, attached as exhibit 1 to the FAC, establishes that Tesla is not a party to the contract. (See *Barnett v. Fireman's Fund Ins. Co*. (2001) 90 Cal.App.4th 500, 505 ("[T]o the extent the factual allegations conflict with the content of the exhibits to the complaint, we rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits."].)

Most allegations in the FAC refer to TIS and Tesla collectively as "Defendants." (See FAC at ¶ 9.) The three causes of action do not make any distinction between the two. Nor does the FAC allege actions by Tesla specifically that constitute a breach of contract, insurance bad faith, or unfair business practices. Tesla argues that the generic allegations of a joint venture or agency are insufficient to support any of the FAC's causes of action as alleged against it.

The general allegation of a joint venture in paragraph 5 of the FAC is inadequate and cannot support any cause of action as alleged against Tesla. A joint venture is defined as an undertaking by two or more persons jointly to carry out a single business enterprise for profit. (*Unruh-Haxton v. Regents of University of California* (2008) 162 Cal.App.4th 343, 370.) The elements of a joint venture include: (1) the members must have joint control over the venture (even though they may delegate it); (2) they must share the profits of the undertaking; and (3) the members must each have an ownership interest in the enterprise. (*Ibid*.) Whether a joint venture actually exists depends on the intention of the parties. And where the evidence is in dispute, the existence or nonexistence of a joint venture is a question of fact to be determined by the trier of fact. (*Ibid*.) The FAC fails to adequately allege a joint venture by Tesla and TIS.

The boilerplate agency and ratification allegations in paragraphs 7 and 8 are legal conclusions that the court does not accept as true for purposes of this motion for judgment on the pleadings. They do not support any cause of action as alleged against Tesla. Where, as here, the operative pleading "does not allege any conduct on [the defendant's] part caused any harm, loss or damage" on the plaintiff's part, the inclusion of boilerplate agency allegations does "not result in the complaint stating a cause of action against" the defendant. (*Falahati v. Kondo* (2005) 127 Cal.App.4th 823, 829.)

Tesla's motion for judgment on the pleadings directed at the entire FAC is therefore granted.

As with a demurrer, a plaintiff bears the burden of demonstrating that an amendment could cure the identified defect. The opposition fails to meet this burden. It argues the motion should be denied, and requests leave to amend the joint venture allegations only if the court finds those allegations insufficient. The opposition does not discuss the boilerplate agency allegations, despite Tesla challenging them as well. (See Tesla's memorandum at p. 8:8-28.)

Because Tesla made a tactical decision not to bring any challenge to the original complaint, and this issue is raised for the first time in a challenge to the FAC, the court will grant leave to amend the general agency and joint venture allegations in paragraphs 5, 7, and 8 of the FAC. The court does not grant leave for Plaintiffs to make any other amendments, including any amendments to any of the three causes of action. The court does not grant leave to add new causes of action or parties.

CONCLUSION

Defendant TIS's demurrer to the FAC is overruled in its entirety.

Defendant Tesla's motion for judgment on the pleadings directed at the entire FAC is granted with leave to amend. Any amended pleading must be filed and served no later than August 3, 2026.

The court will prepare the order.

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Calendar Lines 6 and 7
Case Name: Jackie Mikaio v. Kaiser Foundation Health Plan, Inc. et al.
Case No.: 25CV465668

At issue are (1) an opposed petition to compel arbitration; and (2) an unopposed motion to seal portions of declarations filed in support of the petition to compel. Notice is proper.

According to the form complaint, Plaintiff Jackie Mikaio (Plaintiff) visited a Kaiser Foundation Hospital in Santa Clara, California, in May 2023. (Complaint, first cause of action.) "Plaintiff was walking towards the cafeteria within the subject premises when she stepped on water and/or an unknown substance on the carpet and/or floor causing her to slip and fall, thereby causing Plaintiff to endure severe pain and injury." (*Ibid.*) Plaintiff sued defendants Kaiser Foundation Health Plan, Inc. and Kaiser Foundation Hospitals (collectively, Kaiser) in May 2025. The complaint alleges causes of action for general negligence and premises liability.

PETITION TO COMPEL ARBITRATION

The California Department of Health Care Service's (DHCS) Health Care Options (HCO) department handles enrollment through a streamlined federal process permitting online, phone, mail, and in-person enrollment without requiring signed forms in many cases. (See generally Cal. Code Regs., tit. 22, §§ 53810, 53882, 53883.) According to a declaration by (and attachments to) Kaiser's executive director of Medi-Cal contract management, Kaiser contracts with the State of California to offer managed-care plans under Medi-Cal, California's Medicaid program, which is funded by both federal and state governments to provide health coverage to low-income persons. State and local governments can deliver Medicaid services by contracting with managed-care plans, such as Kaiser's. Kaiser does not enroll Medi-Cal members directly. (Declaration of Kaycee B. Velarde, ¶¶ 1-3; Ex. E at p. 22.)

According to a declaration by an operations manager of Medicaid & Charitable Health Coverage at Kaiser, Plaintiff was enrolled as a Kaiser Medi-Cal member through the Santa Clara Family Health Plan (SCFHP) during multiple periods: September 2008 to September 2010; October 2010 to September 2013; and October 2013 to June 2015. (Declaration of Axel Deniz at ¶ 3-4.) According to documents subpoenaed from DHCS, Plaintiff lost Medi-Cal eligibility between the initial enrollment and June 2016, but regained eligibility in July 2016. Plaintiff "did not choose a new plan and was therefore auto assigned to Santa Clara Health Plan in August 2016." (Declaration of Yvonne M. Pierrou at ¶ 2, Ex. M.) Plaintiff continued with that coverage until December 2023 (when Kaiser's contract with SCFHP ended). (Declaration of Axel Deniz at ¶ 3-4.) Her membership then automatically transferred to a direct Kaiser Medi-Cal plan in 2024. (Declaration of Axel Deniz at ¶ 3, Ex. D.) She remained enrolled in that direct plan until December 2024, and then re-enrolled in February 2025. (Declaration of Axel Deniz at ¶ 3.)

Plaintiff signed a Medi-Cal Choice form in 2008. Her signature is on the bottom of the form, below the following arbitration notice:

> **NOTICE:** I have read the plan description. I understand that Kaiser requires the use of binding neutral arbitration to resolve certain disputes. This includes disputes about whether the right

> medical treatment was provided (called medical malpractice) and other disputes relating to benefits or the delivery of services. If I pick Kaiser, I give up my right to a jury or court trial for those certain disputes. I also agree to use binding neutral arbitration to resolve those certain disputes. I do not give up my right to a State hearing of any issue which is subject to the State hearing process.

(Declaration of Yvonne Pierrou Decl. at ¶ 2, Ex. N.) That form was subpoenaed from DHCS by Kaiser.

Kaiser's 2023 Medi-Cal Plan Member Handbook/Evidence of Coverage (EOC) contains the following arbitration provision:

> **Binding Arbitration**
> Binding Arbitration is a way to resolve problems using a neutral third party. This third party hears both sides of the issue and makes a decision that both sides must accept. Both sides give up the right to a jury or court trial.
>
> **Scope of Arbitration**
> You must use binding arbitration if the claim is related to this Member Handbook or your membership with us, if all of the following requirements are met:
>
> - The claim is for:
>   - Malpractice (a claim that medical services or items were unnecessary or unauthorized or were improperly, negligently, or incompetently rendered); or
>   - Delivery of services or items; or
>   - Premises liability
> - The claim is brought by:
>   - You against us; or
>   - Us against you
> - Governing law does not prevent the use of binding arbitration to resolve the claim
> - The claim cannot be settled through Small Claims Court
>
> Keep in mind:
> - You do not have to use binding arbitration for claims that can be settled through a State Hearing
> - You cannot use binding arbitration if you have gotten a decision on the claim through a State hearing
>
> In this "Binding Arbitration" section only, "you" means the party who is asking for binding arbitration:
> - You (a Member)
> - Your heir, relative, or someone you name to act for you
> - Someone who claims that a duty to them exists due to your relationship with us

> In this "Binding Arbitration" section only "us" and "we" mean:
> - Kaiser Foundation Health Plan, Inc. ("KFHP")
> - Kaiser Foundation Hospitals ("KFH")
> - Southern California Permanente Medical Group ("SCPMG")
> - The Permanente Medical Group ("TPMG")
> - Any SCPMG or TPMG doctor
> - Any person or organization with a contract with any of these parties that require the use of binding arbitration
> - Any employee or agent of any of these parties

(Velarde Decl., Ex. E at pp. 125-126.) The EOC in effect at the time of Plaintiff's 2016 re-enrollment contains a substantially similar arbitration provision. (*Id.*, Ex. F at pp. 91-92.) Until the 2019-2020 plan year, Kaiser mailed a copy of the EOC to the family unit of each new subscriber in the SCFHP. (*Id.* at ¶ 6.) Kaiser now provides an Annual Medi-Cal Member Notice to Medi-Cal members with instructions on how to view the EOC online or to request a paper copy. (*Id.* at ¶¶ 6-7; Declaration of Ujjwal Guha at ¶¶ 1-3, Ex. G-J.) The notice also advises members that the plan uses arbitration to resolve disputes as follows:

> I understand that Kaiser Permanente requires the use of binding arbitration to solve certain problems. This includes:
> - Problems about whether the right medical treatment was provided (called medical malpractice)
> - Other problems related to benefits or the delivery of care
>
> In selecting Kaiser Permanente as my health network:
> - I understand that I give up my right to a jury or court trial for these certain disputes
> - I also agree to use binding arbitration to resolve these certain disputes
> - I understand that I have not given up my right to a state hearing on any issue, which is subject to the sate hearing process
>
> If I choose arbitration, I will be responsible for paying my share of the cost of the binding arbitration, including lawyers' fees, witness fees, and other costs.

(Guha Decl., Ex. G at p. 2, Ex H at p. 2, Ex. I at p. 2.) This notice was sent to Plaintiff in 2021, 2022, and 2023. (*Id.*, Ex. J at pp. 1-2.)

LEGAL STANDARD

The court agrees with Kaiser that the "FAA[1] and its standards apply – even though the CAA[2] governs the general arbitration procedure – because the EOC 'evidences a transaction involving' interstate commerce within the meaning of 9 U.S.C. § 2." (Motion to Compel Arbitration (MTCA) at p. 5:14-16.) "Congress's Commerce Clause power 'may be exercised in individual cases without showing any specific effect upon interstate commerce' if in the

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[1] Federal Arbitration Act (FAA)
[2] California Arbitration Act (CAA)

aggregate the economic activity in question would represent 'a general practice . . . subject to federal control.'" (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57, quoting *Mandeville Island Farms, Inc. v. American Crystal Sugar Co.* (1948) 334 U.S. 219, 236.) Kaiser's operations affect interstate commerce because many of the physicians who treat Health Plan members are recruited from outside California. (Declaration of Ana B. Kimoto at ¶ 4.) In addition, medical equipment, supplies, and medications used at hospitals and clinics owned or operated by Kaiser are purchased and shipped from outside California. (*Ibid.*) (*Scott v. Yoho* (2016) 248 Cal.App.4th 392, 401-402 [finding that the defendants' medical practice affected interstate commerce because, among other reasons, the medical supplies used originated from outside California].) Because the FAA's coverage is intended to extend to the full reach of the commerce clause power, the court finds that Kaiser's operations affect interstate commerce and the FAA applies. (*Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279.)

Under the FAA, the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093, citations omitted; *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Code of Civil Procedure section 1281.2 provides: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement."

To determine whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

ANALYSIS

There is a Valid Agreement to Arbitrate

The records before the court support a finding that there is a valid agreement to arbitrate. An agreement to arbitrate can be shown even when the provision is not signed by all parties. (*Banner Entertainment v. Superior Court* (1988) 62 Cal.App.4th 348, 361 [noting that "it is not the presence or absence of evidence of a signature which is dispositive; it is the presence or absence of evidence of an agreement to arbitrate which matters."].) Here, Plaintiff signed the Medi-Cal Choice form in 2008 that notified her the Kaiser plan required binding neutral arbitration. (Declaration of Yvonne Pierrou Decl. at ¶ 2, Ex. N.) Plaintiff was assigned to Kaiser again when she regained Medi-Cal eligibility in 2016 because she failed to elect a health plan. (Declaration of Yvonne M. Pierrou at ¶ 2, Ex. M [Plaintiff did "not choose a new plan and was therefore auto assigned to Santa Clara Health Plan in August 2016."].) Kaiser submitted evidence showing that it provides annual notices describing the arbitration provision. That evidence includes screenshots showing the actual dates that the notices were mailed to Plaintiff in 2021, 2022, and 2023. (Guha Decl., Ex. J at pp. 1-2.)

"A party's acceptance of an agreement to arbitrate may be express, as where a party signs the agreement. A signed agreement is not necessary, however, and a party's acceptance may be implied in fact [citation] or be effectuated by delegated consent." (*Pinnacle Museum Tower Assn v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) An "agent or other fiduciary who contracts for medical treatment on behalf of his beneficiary retains the authority to enter into an agreement providing for arbitration of claims for medical malpractice." (*Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 709.) On this record, "DHCS and PHC negotiated the agreements on behalf of Medi-Cal beneficiaries under federal Medicaid and state Medi-Cal law. [Citations.] By enrolling in the plans, Medi-Cal beneficiaries bind themselves to the terms of the plan set forth in the plan handbooks, including arbitration and the jury-trial waiver." (*Willis v. Kaiser Found. Hosp.* (C.D. Cal. Nov. 6, 2025) 25-cv-01948-LB, 2025 U.S. Dist. LEXIS 219378 at p. *11 (*Willis*) [granting petition to compel arbitration where Medi-Cal-enrollee plaintiff had not signed an arbitration provision but "was notified about the plan terms in the plan handbooks and through annual notices from Kaiser"].) Likewise here, DHCS and SCFHP negotiated the agreements on behalf of Plaintiff. And by enrolling in the plan, Plaintiff is bound by the terms set forth in the EOC, including the arbitration provision.

Plaintiff relies on *Chambers v. Crown Asset Management, LLC* (2021) 71 Cal.App.5th 583 to argue Kaiser's general testimony about mailing procedures is insufficient to demonstrate Plaintiff received the arbitration language contained in the EOC attached to the motion. (Opposition, p. 6:8-28.) But Plaintiff does not actually make any specific evidentiary objections to any declaration. The Declaration of Ujjwal Guha sets forth the process for "Kaiser's mailings to members through a contracted print vendor" and provides "records prepared and maintained in the normal course of Kaiser's business at or near the time of the event by Kaiser employees who are required to accurately enter information into the computer system." (Guha Decl. at ¶ 1.) The court finds this declaration sufficient for establishing that the Annual Medi-Cal Member Notices were sent. Mr. Guha provides that the name and address of each recipient is given to the vendor with instructions to print and mail the documents. (Guha Decl. at ¶ 2.) Mr. Guha attaches screenshots showing the actual dates the notices were mailed to Plaintiff. (*Id.*, Ex. J.)

Brockman v. Kaiser Foundation Hospitals (2025) 114 Cal.App.5th 569 (*Brockman*), is distinguishable. (Opposition at p. 4:1-2.) The *Brockman* court affirmed the denial of a petition to compel arbitration in a non-Medi-Cal case where the moving party failed to submit to the trial court the documents containing the full arbitration provisions for the years when Brockman had enrolled in coverage. (*Brockman*, at p. 588.) Kaiser's evidentiary submissions and the nature of Plaintiff's automatic Medi-Cal re-enrollment in Kaiser in 2016 after she failed to elect a Medi-Cal plan distinguish this case from *Brockman*.

The Scope of the Agreement Covers Plaintiff's Claims

As noted above, the scope of the arbitration provision provides:

> You must use binding arbitration if the claim is related to this Member Handbook or your membership with us, if all of the following requirements are met:
>
> - The claim is for:
>   - Malpractice (a claim that medical services or items were unnecessary or unauthorized or were improperly, negligently, or incompetently rendered); or
>   - Delivery of services or items; or
>   - Premises liability
> - The claim is brought by:
>   - You against us; or
>   - Us against you
> - Governing law does not prevent the use of binding arbitration to resolve the claim
> - The claim cannot be settled through Small Claims Court

(Velarde Decl., Ex. E at pp. 125-126.)

Plaintiff's allegations in the Complaint are that she stepped on a wet substance on the floor causing her to slip and fall and endure severe pain and injury. Plaintiff brings two causes of action for general negligence and premises liability. Plaintiff's claims fall within the scope of the arbitration clause.

Section 1363.1 Does Not Apply to Medi-Cal Enrollments

Kaiser argues California Health and Safety Code section 1363.1 does not apply to Medi-Cal enrollments because it is preempted by the Affordable Care Act (ACA). (MTCA at pp. 7:19-27, 8:25-13:8.)

"Section 1363.1 requires healthcare plans with binding arbitration and jury-trial-waiver provisions to include a disclosure that meets the following conditions: (a) a statement that 'the plan uses binding arbitration to settle disputes,' including, specifically, claims of medical malpractice; (b) a prominent disclosure as a separate article on the enrollment form signed by each enrollee; (c) an express waiver of the right to a jury trial; and (d) in an enrollment agreement for a healthcare service plan, a disclosure immediately above the signature line for the contracting group or the enrolling individual." (*Willis*, *supra*, 2025 U.S. Dist. LEXIS 219378, p. *8 [citing Cal. Health & Safety Code § 1363.1(a)-(d)].)

That section is preempted by the ACA for Medi-Cal enrollees. Under federal law, states are to simplify the Medi-Cal enrollment process by allowing phone enrollments and enrolling persons by default who fail to select a plan. (*Willis, supra,* 2025 U.S. Dist. LEXIS 219378 at p. *9 [citing 42 U.S.C. § 180383, 42 U.S.C. § 1396u-2(a)(D); 42 C.F.R. § 438.54(d)(5)].) In *Willis*, the court noted that

> [DHCS's] use of a simplified process is consistent with the Legislature's approval of the use of managed-care plans for Medi-

> Cal beneficiaries to encourage efficient delivery of healthcare services, reduce the 'inflationary costs of healthcare,' improve the quality of services, and reduce the administrative costs of operating the Medi-Cal program. *Id.* at § 14021. It also is consistent with the Affordable Care Act's simplification of Medicaid enrollment by permitting enrollment by means other the paper. Requiring disclosure of the arbitration provision is inconsistent with a mandated default enrollment.

(*Willis, supra,* 2025 U.S. Dist. LEXIS 219378 at p. *9, 10.)

The court in *Willis* further found that "the regulatory scheme leaves no room for health plans to impose an additional requirement to sign an enrollment form complying with § 1363.1: once DHCS/PHC notified Kaiser that the plaintiff was a member of the plan, Kaiser was required to accept him." (*Willis, supra,* 2025 U.S. Dist. LEXIS 219378 at p. *10.) The court in *Willis* determined that the ACA's amendments requiring a simplified enrollment process preempt section 1363.1. (*Id.* at *10 [citing *Winninger v. Scott* (N.D. Cal. 2022) 21-CV-4689-HSG, U.S. Dist. LEXIS 117756 at p. *4; *Hunter, supra*, 434 F.Supp.3d at p. 773].) The court finds those authorities persuasive.

Defendants are exempt from the disclosure requirements under Health and Safety Code section 1363.1. Nevertheless, Kaiser is a Knox-Keene plan and notice to enrollees of binding arbitration is still required. (Civ. Code, § 1295, subd. (f); Health & Saf. Code, §§ 1363, subd. (a)(1) and 1373, subd. (i).) Here, the arbitration provision is contained within the EOC. (Velarde Decl., Ex. A at pp. 125-126.) Kaiser sends an annual notice to all enrollees that directs them to the EOC. (Guha Decl., Exs. G, H, I.) The notice includes a separate and outlined section advising members that the plan uses arbitration to resolve disputes. (*Ibid.*) Notice of the agreement to arbitrate is sufficient under these facts. Defendants need not do more because the Medi-Cal plan is exempt from the requirements of Health and Safety Code section 1363.1.

The Court does not reach Kaiser's arguments about the lack of waiver and lack of unconscionability. Plaintiff forfeited any argument about waiver and unconscionability by not addressing Kaiser's arguments on those points. The petition to compel arbitration is GRANTED. A stay of these proceedings is proper under Code of Civil Procedure section 1281.4 and 9 U.S.C. § 3. The court STAYS this action in its entirety pending the outcome of arbitration.

MOTION TO SEAL

Defendants move to seal the confidential unredacted versions of the Declarations of Axel Deniz, Ujjwal Guha, and Yvonne M. Pierrou lodged conditionally under seal on December 8, 2025 in support of their petition to compel arbitration.

"Unless confidentiality is required by law, court records are presumed to be open." (Cal. Rules of Court, rule 2.550(c).) The sealed records rules "do not apply to records that are required to be kept confidential by law." (Cal. Rules of Court, rule 2.550(a)(2).) "A record must not be filed under seal without a court order. The court must not permit a record to be filed under seal based solely on the agreement or stipulation of the parties." (Cal. Rules of Court, rule 2.551(a).) “The court may order that a record be filed under seal only if it expressly finds facts that establish: [¶] (1) There exists an overriding interest that overcomes the right of public access to the record; [¶] (2) The overriding interest supports sealing the record; [¶] (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; [¶] (4) The proposed sealing is narrowly tailored; and [¶] (5) No less restrictive means exist to achieve the overriding interest.” (Cal. Rules of Court, rule 2.550(d).)

Where some material within a document warrants sealing, but other material does not, the document should be edited or redacted if possible, to accommodate the moving party’s overriding interest and the strong presumption in favor of public access. (Cal. Rules of Court, rule 2.550(d)(4), (5).) In such a case, the moving party should take a line-by-line approach to the information in the document, rather than framing the issue to the court on an all-or-nothing basis. (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 309.)

The information requested to be sealed is Plaintiff’s personal identifying protected health information (PHI). This includes Plaintiff’s street address and the name of a member of her household found on her healthcare membership records. (Deniz Decl., Ex. D; Guha Decl. Exs. I & J; Pierrou Decl., Ex. N.) Under the federal Health Insurance Portability and Accountability Information Act (45 C.F.R. § 164.502(b)) and the California Confidentiality of Medical Information Act (Civ. Code, § 56.10, subd. (b)(7)), a health care provider shall not disclose the medical information of a patient without authorization and must take reasonable efforts to limit the disclosure of PHI. There exists an overriding interest that overcomes the right of public access to this information and that Plaintiff will be prejudiced if the record is not sealed. The proposed sealing is narrowly tailored to Plaintiff’s PHI, and no less restrictive means exist to achieve this overriding interest. Accordingly, the motion to seal is GRANTED.

CONCLUSION

The petition to compel arbitration is GRANTED. The motion to seal is GRANTED. This matter is stayed pending completion of arbitration. A case status review regarding arbitration will take place on April 1, 2027, at 11:00 a.m. in Department 10. The court will prepare the order.

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Calendar Line 9
Case Name: *Navy Federal Credit Union v. Mario Escorpiso, Jr.*
Case No.: 25CV482256

This is a limited civil collection action brought by plaintiff Navy Federal Credit Union (NFCU) against self-represented defendant Mario Escorpiso, Jr. (Escorpiso). The original and still operative complaint, a form complaint, was filed in December 2025. It alleges two causes of action for breach of contract. A proof of service for the complaint was filed in January 2026 indicating that Escorpiso was served via substituted service at 3130 Orthello Way, Santa Clara, CA 95051.

At issue is a motion to quash service brought by Escorpiso. No proof of service for the motion was filed with the court. NFCU nonetheless timely opposed.

LEGAL STANDARD FOR MOTION TO QUASH SERVICE

Code of Civil Procedure section 418.10, subdivision (a)(1), authorizes a defendant to move to quash service of summons "on the ground of lack of jurisdiction of the court over him or her." (Code Civ. Proc. § 418.10, subd. (a)(1).) "[A] motion to quash under section 418.10, subdivision (a)(1), is a limited procedural tool to contest personal jurisdiction over the defendant where the statutory requirements for service of process are not fulfilled." (*Stancil v. Superior Court* (2021) 11 Cal.5th 381, 390.) New evidence is not permitted with reply papers unless it is "strictly responsive" to arguments made for the first time in the opposition. (See *Golden Door Properties, LLC v. Superior Court* (2020) 53 Cal.App.5th 733, 774.)

In California, " 'the original service of process, which confers jurisdiction, must conform to statutory requirements or all that follows is void.' " (*Ruttenberg v. Ruttenberg* (1997) 53 Cal.App.4th 801, 809.) "Until statutory requirements are satisfied, the court lacks jurisdiction over a defendant." (*Id*. at p. 808.) "When a defendant challenges the court's personal jurisdiction on the ground of improper service of summons the burden is on the plaintiff to prove . . . the facts requisite to an effective service." (*Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413, internal quotations omitted; see also *Lebel v. Mai* (2012) 210 Cal.App.4th 1154, 1160.)

A plaintiff's filing of a statutorily compliant proof of service of summons by a registered process server creates a rebuttable presumption that service was proper. (*Dill v. Berquist Construction Co*. (1994) 24 Cal.App.4th 1426, 1441-1442; see also *American Express Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 390 (*Zara*) ["Evidence Code section 647 provides that a registered process server's declaration of service establishes a presumption affecting the burden of producing evidence of the facts stated in the declaration."].)

DISCUSSION

The proof of service of summons and complaint filed on January 8, 2026 includes a declaration from a registered process server stating that substituted service was made on January 7, 2026 on a "John Doe" who "refused to give their name who identified themselves as the co-resident."

Code of Civil Procedure section 415.20, subdivision (b), permits substituted service when “a copy of the summons and complaint cannot with reasonable diligence be personally delivered to the person to be served.” Reasonable diligence is satisfied where a plaintiff makes two or more attempts to serve a defendant personally. (*Zara*, *supra*, 199 Cal.App.4th at p. 389.)

The proof of service of summons includes a declaration of diligence stating that the process server made four prior attempts at service at the address, from January 2 through January 7, 2026. That sufficiently demonstrates reasonable diligence. The substituted service on Escorpiso on January 7 was therefore presumptively proper. Code of Civil Procedure section 415.20, subdivision (b), permits substituted service on a “person’s dwelling house, usual place of abode, usual place of business . . . in the presence of a competent member of the household or a person apparently in charge of his or her office, place of business.”

Escorpiso filed a declaration with the motion in which he declares that he no longer lived at 3130 Orthello Way, Santa Clara, CA 95051 at the time service was made. However, the declaration does not provide any date for the time his residency at the location ended, nor does it describe the length of time he resided at the property. The declaration also acknowledges Escorpiso “may have continued to receive some mail associated with that address.” (Escorpiso Decl. at ¶ 6.) The declaration is inadequate to rebut the presumption of proper service established by the proof of service of summons filed with the court.

CONCLUSION

Defendant Escorpiso’s motion to quash service of summons based on improper service is denied. Defendant is ordered to file a responsive pleading no later than August 3, 2026. The court will hold a case management conference on September 15, 2026, at 10:00 a.m. in Department 10.

The court will prepare the order.

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